NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH – II
CHENNAI

(4)

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF CHENNAI BENCH, CHENNAI NATIONAL COMPANY LAW TRIBUNAL, HELD ON 09-03-2022 AT 10:30 A.M THROUGH VIDEO CONFERENCING:

PRESENT: JUSTICE (RETD.) SMT. S. RAMATHILAGAM, MEMBER (JUDICIAL)
SHRI B. ANIL KUMAR, MEMBER (TECHNICAL)

APPLICATION NUMBER	:	
PETITION NUMBER	:	**CA(CAA)/6(CHE)/2022**
NAME OF THE PETITIONER	:	**Mahindra Intergrated Townsip Ltd & another**
NAME OF THE RESPONDENTS	:	**Mahindra World City Developers Ltd**
UNDER SECTION	:	**Sec 230 - 232 of CA, 2013**

ORDER

CA(CAA)/6/(CHE)/2022

Ld. Counsel for the Petitioner Mr. Pawan Jhabakh is present.

This is a joint application filed by the Applicant Companies, namely M/s. Mahindra Integrated Township Limited ("Transferor Company 1"), M/s. Mahindra Residential Developers Limited ("Transferor Company 2") and Mahindra World City Developers Limited ("Transferee Company") and their respective Shareholders under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Merger by Absorption (hereinafter referred to as the "SCHEME"). The Board of Directors of the Transferor Company 1, Transferor Company 2 and Transferee Company vide their resolutions dated 24.09.2021, 30.09.2021 and 30.09.2021 respectively approved the said Scheme of Amalgamation.

The said Scheme is also annexed as Annexure "A1" to the CA(CAA)/6(CHE)2022.

2. The Applicant Companies in this Company Application has sought for the following reliefs:

i) For dispensing with convening, holding and conducting of the meeting of Equity Shareholders of the **Transferor Companies and Transferee Company;**

ii) For dispensing with convening, holding and conducting of the meeting of Secured Creditors of the **Transferor Companies and Transferee Company**; and

iii) Order for convening, holding and conducting of the meeting of Unsecured Creditors of the **Transferor Companies and Transferee Company**; and

iv) It is prayed that notices to the statutory authorities may be ordered by this Hon'ble Tribunal as per provisions of section 230(5) of the Act and Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

3. **MAHINDRA INTEGRATED TOWNSHIP LIMITED – TRANSFEROR COMPANY 1**

I. There are 08 (Eight) Equity Shareholders and the list is placed at page 430 (Vol.II) of the typed set filed with the application. Consent obtained from all the equity shareholders by way of consent affidavits annexed as "Annexure A11" (Vol.II) place at page 431-441.

II. There are 02 (Two) Secured Creditors as on 15.11.2021 having an outstanding value of Rs.70,07,95,991. The Certificate provided by Independent Chartered Accountant reflecting the number and value is placed at page 462 to 463 (Vol. II) as "Annexure A16" to the typed set filed along with the Application. Consent affidavits obtained from both the secured creditors is placed at page 464 to 477 as "Annexure A17".

III. There are 329 (Three Hundred Twenty Nine) Unsecured Creditor as on 15.11.2021 having an outstanding value of Rs.12,41,69,491. The Certificate provided by Independent Chartered Accountant reflecting the number and value is placed at page 478 to 485 (Vol. II) as "Annexure A18" to the typed set filed along with the Application.

The Transferor Company 1 is a public company incorporated under the Companies Act, 1956 on 24.06.1996 under the name and style of 'Mahindra Intermodal Transportation Private Limited'. The name of the Transferor Company 1 was changed from 'Mahindra Intermodal Transportation Private Limited' to 'Mahindra Integrated Township Private Limited' effective 13.07.2006. Subsequently, Transferor Company 1 was converted into public company and consequent to such conversion name of the Company had been changed from 'Mahindra Integrated Township Private Limited' to 'Mahindra Integrated Township Limited' effective 24.08.2006. The Transferor Company 1 is engaged, inter alia, in the business of construction and development of residential township. The Registered Office of the company is situated at Mahindra World City Administrative Block, Chengalpattu Kancheepuram, Chennai-603002. Authorised, Issued, subscribed and Paid-up Share Capital of the Company as on 30.09.2021 is as below:

Particulars	**Amount (in Rs.)**
Authorised Share Capital 6,00,00,000 Equity Shares of Rs.10/- each	60,00,00,000
Issued, Subscribed and Paid-up Share Capital 5,00,00,000 Equity Shares of Rs.10/- each	50,00,00,000

4. **MAHINDRA RESIDENTIAL DEVELOPERS LIMITED – TRANSFEROR COMPANY 2**

I. There are 08 (Eight) Equity Shareholders and the list is placed at page 442 (Vol.II) of the typed set filed with the application. 100% Consent obtained from all its equity shareholders by way of consent affidavits annexed as "Annexure A13" (Vol.II) place at page 443-449.

II. There are Nil Secured Creditors as on 15.11.2021. The Certificate provided by Independent Chartered Accountant reflecting the number and value is placed at page 486 (Vol. II) as "Annexure A19" to the typed set filed along with the Application.

III. There are 104 (One Hundred Four) Unsecured Creditor as on 15.11.2021 having an outstanding value of Rs.2,19,37,682. The Certificate provided by Independent Chartered Accountant reflecting the number and value is placed at page 487 to 491 (Vol. II) as "Annexure A20" to the typed set filed along with the Application.

The Transferor Company 2 is a public company incorporated under the Companies Act, 1956 on 01.02.2008. It is engaged, inter alia, in the business of construction and development of residential township. The Registered Office of the company is situated at Mahindra World City Administrative Block, Chengalpattu Kancheepuram, Chennai - 603002.

Authorised, Issued, subscribed and Paid-up Share Capital of the Company as on 30.09.2021 is as below:

Particulars	**Amount (in Rs.)**
Authorised Share Capital	
4,50,000 Equity Shares of Rs.10/- each	45,00,000
50,000 Preference Shares of Rs.10/- each	5,00,000
Total	**50,00,000**
Issued, Subscribed and Paid-up Share Capital	
2,50,000 Equity Shares of Rs.10/- each	25,00,000

5. **MAHINDRA WORLD CITY DEVELOPERS LIMITED – TRANSFEREE COMPANY**

I. There are 08 (Eight) Equity Shareholders and the list is placed at page 450 (Vol.II) of the typed set filed with the application. 100% Consent obtained from all its equity shareholders by way of consent affidavits annexed as "Annexure A15" (Vol.II) place at page 451-461.

II. There are 03 (Three) Secured Creditors as on 15.11.2021 having an outstanding value of Rs.2,69,72,15,124. The Certificate provided by Independent Chartered Accountant reflecting the number and value is placed at page 492 to 493 (Vol. II) as "Annexure A21" to the typed set filed along with the Application. The consent affidavits from all the three secured creditors are obtained and placed at Pages 494 to 511 along with the type set of the application.

III. There are 209 (Two Hundred Nine) Unsecured Creditor as on 15.11.2021 having an outstanding value of Rs.68,47,13,587. The Certificate provided by Independent Chartered Accountant reflecting the number and value is placed at page 512 to 515 (Vol. II) as "Annexure A23" to the typed set filed along with the Application.

The Transferee Company is a public company incorporated under the Companies Act, 1956 on 19.02.1997 under the name and style of 'Mahindra Industrial Park Limited'. The name of the company was changed from 'Mahindra Industrial Park Limited' to 'Mahindra World City Developers Limited' effective 30.08.2005. The Registered Office of the company is situated at Ground Floor, Mahindra Towers, 17/18, Patulous Road, Chennai 600002. It is engaged, inter alia, in establishing, acquiring, developing and maintaining industrial parks at Mahindra World City Administrative Block, Chengalpattu Kancheepuram, Chennai.

Authorised, Issued, subscribed and Paid-up Share Capital of the Company as on 30.09.2021 is as below:

Particulars	**Amount (in Rs.)**
Authorised Share Capital	
2,50,00,000 Equity Shares of Rs.10/- each	25,00,00,000
65,00,000 Redeemable Preference Shares of Rs.100/- each	65,00,00,000
50,00,000 Unclassified shares of Rs. 10/- each	5,00,00,000
Total	**95,00,00,000**
Issued, Subscribed and Paid-up Share Capital	
2,00,00,000 Equity Shares of Rs.10/- each	20,00,00,000

6. The Applicant Companies has filed their Memorandum and Articles of Association *inter alia* delineating its object clauses as well as their last available Audited Annual Accounts for the year ended 31.03.2021 and Unaudited Financial Statements as on 30.09.2021.

7. The Statutory Auditors of the Transferor Companies 1 & 2 and Transferee Company have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that the Accounting Treatment for the scheme sought to be implemented is in compliance with the Indian Accounting Standard 103 (Business Combinations) notified under the provisions of the Companies Act, 2013 read with the rules made there under and other Generally Accepted Accounting Principles in India. The Certificate of the Statutory Auditors issued in this regard is placed at pages 516-524 to the typed set filed along with the Application.

8. Taking into consideration the application filed by the Applicant Companies and the documents filed therewith as well as the position of law, this Tribunal propose to issue the following directions as follows: -

A. IN RELATION TO THE TRANSFEROR COMPANY 1

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferor Company 1 that there are 8 (Eight) Equity Shareholders in the Company whose consent by way of affidavits have been obtained and are placed on records, the necessity of convening and holding the meeting is *dispensed with.*

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferor Company 1 that there are 2 Secured Creditor in the Company whose consent by way of Affidavits have been obtained and placed on record, and hence the necessity of convening a meeting is *dispensed with.*

(iii) **With respect to Unsecured Creditors:**

Meeting of Unsecured Creditors of the Transferor Company 1 is directed to be held on 04.05.2022 at 10:00 AM at the registered office address of the Transferor Company 1 or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

9. The quorum for the meeting of the Unsecured Creditors of the Transferor Company 1 shall be 15. In case the quorum as noted above, for the above meeting of the Applicant Companies is not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of

the Transferor Company 1 at least 48 hours before the meeting.

B. IN RELATION TO THE TRANSFEROR COMPANY 2

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferor Company 2 that there are 8 (Eight) Equity Shareholders in the Company whose consent by way of affidavits have been obtained and are placed on records, the necessity of convening and holding the meeting is *dispensed with.*

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferor Company 2 that there are NIL Secured Creditors and hence the necessity of convening a meeting does not arise.

(iii) **With respect to Unsecured Creditors:**

Meeting of Unsecured Creditors of the Transferor Company 2 is directed to be held on 04.05.2022 at 11:00 AM at the registered office address of the Transferor Company 2 or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

10. The quorum for the meeting of the Unsecured Creditors of the Transferor Company 2 shall be 15. In case the quorum as noted above, for the above meeting of the Applicant Companies is not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the

person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the Transferor Company 2 at least 48 hours before the meeting.

C. IN RELATION TO THE TRANSFEREE COMPANY

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferee Company that there are 8 (Eight) Equity Shareholders in the Company whose consent by way of affidavits have been obtained and are placed on records, the necessity of convening and holding the meeting is *dispensed with.*

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferee Company that there are 3 Secured Creditor in the Company whose consent by way of Affidavits have been obtained and placed on record, and hence the necessity of convening a meeting is *dispensed with.*

(iii) **With respect to Unsecured Creditors:**

Meeting of Unsecured Creditors of the Transferee Company is directed to be held on 04.05.2022 at 12:00 PM at the registered office address of the Transferee Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from

this tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

The quorum for the meeting of the Unsecured Creditors of the Transferee Company shall be 15.

I. The Chairperson appointed for the above said meetings shall be **Mr. G. Ramachandran, PCS** *(Mob:9841037454)* and the alternate chairperson appointed for the above said meeting shall be the Managing Director of the Company who has sworn in affidavit on behalf of the respective Applicant Companies. The Consolidated fee of the Chairperson for the aforesaid meetings shall be ₹2,25,000/- *(Rupees Two Lakh Twenty Five Thousand Only) for the services* in addition to meeting his incidental expenses. The Chairperson(s) will file the reports of the meeting within a week from the date of holding of the above said meetings.

II. **Mr. Jerin Asher Sojan, Advocate** *(Mob: 8075504970)* is appointed as a Scrutinizer and would be entitled to a consolidated fee of ₹75,000/- *(Rupees Seventy Five Thousand Only)* for the services in addition to meeting incidental expenses.

11. In case the quorum as noted above, for the above meetings of the Applicant Companies is not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person

entitled to attend and vote at the meeting, is filed with the registered office of the Transferee Company at least 48 hours before the meeting.

12. The meeting shall be conducted either by way of physical means or by video or other audio visual means enabled with e-voting as per applicable procedure prescribed under the MCA Circular MCA General Circular Nos.(i) 20/2020 dated 5th May, 2020 (AGM Circular), (ii) 14/2020, dated 08.04.2020 (EGM Circular-I) and (iii) 17/2020 dated 13.04.2020 (EGM Circular-II);

13. That individual notices of the above said meetings shall be sent by the Applicant Companies through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and the time as aforesaid, together with a copy of Scheme, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in addition to the above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

14. That the Applicant Companies shall publish advertisement with a gap of atleast 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as

aforesaid, to be published in the English Daily *"Business Standard"*(All India Edition), and *"Dina Malar" Tamil* (Tamil Nadu Edition) in Vernacular stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the respective Applicant Companies.

15. Voting shall be allowed on the proposed Scheme by voting in person. The Chairperson shall be responsible to report the result of the meeting within a period of 3 days of the conclusion of the meeting with details of voting on the proposed scheme.

16. The companies shall individually send notice to concerned Regional Director, MCA, the Income Tax Authorities, Registrar of Companies Chennai, Official Liquidator, as well as other Sectoral regulators who may have significant bearing on the operation of the applicant companies or the Scheme *per se* along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

17. The applicant companies shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the

Scheme made by every creditor of the applicant companies entitled to attend the meetings as aforesaid.

18. The Authorized Representative of the Applicant Companies shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

19. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

20. The Application stands **allowed** on the aforesaid terms.

-Sd-
B. ANIL KUMAR
MEMBER (TECHNICAL)

-Sd-
Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)

Sudhir